**Effective/Revision Date:**
July 22, 2016

**Background:**
State regulations (EAS 42-751, 42-765.2, 47-440) require taking all reasonable steps necessary to promptly correct any overpayment or underpayment of supportive services payments to a recipient or a service provider including, but not limited to, all cases involving fraud and abuse.

**Policy:**

**44-350.L.1 Supportive Services Overpayments**
A supportive service overpayment occurs in the following instances:

- Payments issued for which customer is not eligible
- Payments issued for a month following the month in which a participant is no longer meeting satisfactory participation
- Fraud overpayment determination
- Participant fails to provide required documentation to verify an advanced payment
- Payment issued for child care services for a time period outside of approved effective dates, times and hours
- Payment issued to a child care provider for services that were not provided

**44-350.L.2 Suspected Fraud Overpayments**
When fraud is suspected coordinate with the eligibility worker to initiate a referral to the Public Assistance Fraud Division (PAFD).

**44-350.L.3 Employment Services Case Closures with Outstanding or Deferred Claims**
When an Employment Services case closes with existing overpayment or deferred claim, send the **WTW 12** and **WTW 13** for each established claim.

**44-350.L.4 Underpayments**
An underpayment occurs when a payment issued to a participant is less than the amount to which he/she is entitled.

When an underpayment occurs:

- Complete and send the **WTW 11** to the participant
- Issue a supplemental payment for the appropriate amount
- Send a supportive services approval NOA with the supplemental payment amount
- Narrate in Case Comments all actions taken

**Procedures:**

- Employment Services staff corrects data previously entered into CalWIN following How To #263A
- Employment Services staff send an encrypted email to the County with the following information:
  - Case name
  - Case number
  - Participant's name
  - Liable individual(s) information
  - Type of supportive services issued
  - Date of discovery
  - Cause of potential overpayment
  - Amount of potential overpayment
  - Period of potential overpayment (From and Through Date)
  - Attach any supportive documents when appropriate
  - Name and phone of the WTW/Cal-Learn staff submitting the referral

- The County evaluates the actions taken by Employment Services staff. If appropriate, authorizes changes and establish the overpayment, sends required notices, and enters case comments into CalWIN.

A separate overpayment computation and referral must be made when there is more than one type of overpayment or there is more than one overpaid payee

**References:**

EAS 42-751 (http://www.dss.cahwnet.gov/ord/entres/getinfo/pdf/7EAS.pdf)
EAS 42-765.2 (http://www.dss.cahwnet.gov/ord/entres/getinfo/pdf/8EAS.pdf)
EAS 47-440 (http://www.dss.cahwnet.gov/ord/entres/getinfo/pdf/15EAS.pdf)

**Sunset Date:**

This policy will be reviewed for continuance by July 31, 2019.

**Approval for Release:**



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Eligibility Operations